

The Reserve Bank of India (RBI)–12 cases under the Insolvency and Bankruptcy Code (IBC)

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1 Context

The *IBC, 2016* is a major structural reform for India. It is also a reform that has been executed at an extraordinary pace. The deliberations of the Bankruptcy Law Reforms Committee (BLRC) in regard to proposing a comprehensive insolvency and bankruptcy code for India started in March, 2015. By December, 2016 the insolvency resolution process for firms was in place. The entire process, from start to finish, was completed in around 20 months. This is a considerable feat given that the process included:

- Designing and drafting the *IBC, 2016*, a procedural law with 255 sections in its final form.
- Enacting the law in Parliament.
- Creating the infrastructure for implementation of the law and operationalising the law.¹ The *IBC, 2016* is unique in proposing the design and structure of four institutions that are required for its functioning. These include: (1) the Insolvency and Bankruptcy Board of India (IBBI), the regulator, (2) the National Company Law Tribunal (NCLT), the Adjudicating Authority (AA) for corporate insolvency resolution, (3) Insolvency Professionals (IPs) and Insolvency Professional Agency (IPA), the Resolution Professionals (RPs), and (4) Information Utilities (IUs), credit data repositories.

Compare this to similar structural reforms of the corporate insolvency regime in other countries. In the United Kingdom (UK), the reform process which culminated in the enactment of the *Insolvency Act, 1986*, started in 1977 and was completed in 1986. Similarly, in Singapore, the reform process was started in 2010, and the change to the law made in 2017 (Table 1).

Table 1 Comparing insolvency reform process timelines across countries

Country	Committee process		Law enactment
	Committee formed	Report submission	
India	BLRC – March, 2015 ¹	Volume 1 and Volume 2 of the BLRC Report – November, 2015	IBC May, 2016
UK	Cork Committee on Insolvency Law Review – 1977	Report of the Committee on Insolvency Law and Practice – 1979	Insolvency Act, 1986
Singapore	Insolvency Law Review Committee – 2010	Report of the Insolvency Law Review Committee – 2013	Companies (Amendment) Act, 2017

¹ The BLRC was constituted in November, 2014. Its initial mandate was to suggest amendments to the insolvency and bankruptcy provisions under the Companies Act, 2013. It was tasked with designing a comprehensive insolvency and bankruptcy Code only in March, 2015.

¹The focus was on implementing the corporate insolvency resolution sections of the law

One reason for this pace of reform, specially of the corporate insolvency resolution regime, is that since 2012-13, the Indian banking system has been witnessing increasing levels of Non Performing Asset (NPA), both in absolute terms and in relation to the capital in the banking system.² A large proportion of these NPAs are on account of bank credit to corporates³, mainly to sectors such as power, steel, infrastructure and textiles.

In India, signs of corporate sector stress were visible as far back as 2011 which is also the period in which the Indian economy entered into a phase of business cycle recession⁴, with a slowdown in both domestic demand and global demand for Indian exports. In 2013, a Credit Suisse⁵ reported that the Top 10 Indian corporate houses, which accounted for 13% of the total system debt, were facing debt servicing pressures and declining interest cover ratios.

The period from 2013 to 2018 has seen two distinct phases in the policy strategy for dealing with corporate stress, which in turn has resulted in stress in bank balance sheets:

1. Phase 1: the restructuring strategy,
2. Phase 2: the legal strategy.

1.1 Phase 1: the restructuring strategy

Until 2015, the strategy employed by the government and the RBI to deal with the banking sectors' increasing NPAs was to deploy a series of RBI sponsored out-of-court restructuring programmes. The 5/25 scheme, the Corporate Debt Restructuring (CDR), the Strategic Debt Restructuring (SDR), Scheme for Sustainable Structuring of Stressed Assets (SSSSA) and the Joint Lenders Forum (JLF) were all part of this strategy. Most of these

² Rajeswari Sengupta and Harsh Vardhan (2017). "Non-performing assets in Indian Banks: This time it is different". In: *Economic and Political Weekly* refer to this period as the second banking crisis, which is ongoing. The first banking crisis in their analysis is the 1997 – 2002 period. In this period too, the Indian banking system was weighed down by high levels of NPAs.

³Peter Lindner and Sung Eun Jung (2014). "Corporate Vulnerabilities in India and Banks' Loan Performance". In: *IMF Working Paper* show that corporate stress can explain a large part of India's banking NPAs. They also find that growing corporate stress, would exacerbate NPAs, could weaken India's banks, most notably at a time when they have to increase capital levels under BASEL III.

⁴Radhika Pandey, Ila Pattnaik, and Ajay Shah (2017). "Dating business cycles in India". In: *NIPFP Working Paper 175* record a recession period from mid-2011 to 2012.

⁵India Financial Sector, House of Debt; Credit Suisse; August, 2013
https://research-doc.credit-suisse.com/docView?language=ENG&source=emfromsendlink&format=PDF&document_id=1021449371&extdocid=1021449371_1_eng_pdf&serialid=9IEtj9tC9wxAGa5r2NuYSCyQ3AtHVhY88a0%2bhKfpy3E%3d

schemes involved banks giving relief to corporate borrowers by restructuring the terms of their bank debt, typically by increasing the tenure of these loans or by giving relief on interest rates.

There are two possible reasons for adoption of this strategy. The first has to do with the state of the legal framework for corporate insolvency resolution prior to the *IBC, 2016*. India's insolvency regime for corporates was complex and inefficient. It was spread across multiple laws and adjudicating fora, creating opportunities and incentives for delay. Its supporting infrastructure was weak, both in terms of capacity and capability. And it created poor outcomes and adverse incentives for lenders. The *World Bank Doing Business Report* (2015) ranked India at 137 amongst 189 countries on the "Resolving Insolvency" parameter, with a recovery rate of 26 cents to a dollar, and an average recovery time of 4.3 years. Lenders were likely to achieve better outcomes by negotiating with defaulting corporate borrowers on a restructuring platform, than by taking them to court for recovery.

The second reason, was the availability of capital for Public Sector Banks (PSBs). Even as corporate sector stress increased, government which owns a significant proportion of the banking sector in the country, showed a limited commitment to making capital available to PSBs. Under the Indradhanush plan, initiated in 2015, the government estimated PSBs capital requirements for the next four years to be Rs. 1,80,000 cr. Of this, the government's commitment to capital infusion was Rs. 70,000 cr, and the remaining Rs. 1,10,000 cr was to be raised by the PSB from the capital markets. Given limitations on capital, PSBs had little choice but to restructure the stressed loans given to corporates in a manner that minimised their loan loss provisions. The RBI sponsored restructuring schemes, which have been referred to as "extend and pretend" schemes, enabled this and even incentivised it by allowing lower loan loss provisions for loans restructured under these schemes.

However, this restructuring did not address the core problem of stress in corporate balance sheets. In, September 2016, a Credit Suisse report⁶ estimated Rs. 13,40,000 cr of debt was from companies that could not even cover their interest costs. This was around 39% of the total debt of Indian corporates. So, while the restructuring strategy had temporarily postponed the problem of loan loss provisions for banks, it exacerbated the problem of corporate stress by delaying resolution.

⁶House of Debt, September 2016

https://research-doc.credit-suisse.com/docView?language=ENG&format=PDF&sourceid=csplusrsearchcp&document_id=1054415551&serialid=2vtA0tv%2Fc8M0sh9CPFFOGsSV45sLr4LSMBym3iF1RYI%3D

Table 2 Corporate stress and banking stress: 2013 – 2017

Year	Bank stressed assets ¹ (as % of total bank assets)	Corporate stress ² (as % of total corporate debt)
2013		
2014		
2015		
2016		39
2017		40

¹ Bank stress = (NPA+Restructures Assets)/Total Assets
² Corporate Stress = (Corporate debt with ICR₁)/Total corporate debt

1.2 Phase 2: the legal strategy

With the *IBC, 2016*, there is a fundamental shift in the policy strategy for dealing with corporate distress and banking sector NPA. The strategy being deployed is a legal strategy, where a structural change in the legal process for corporate insolvency has been effected. It is critical to understand that, given India’s prior experiences with legal strategies for resolution and recovery of debts, this is a bold move. In the past, India has had three instances where a legal strategy was deployed, and for a variety of reasons, it failed to deliver desired results in terms of improvements in recovery rates, and lowering of the time to recovery⁷:

1. *SICA, 1985*, which created a quasi-judicial forum known as the Board for Industrial and Financial Reconstruction (BIFR), to evaluate and approve rehabilitation plans for eligible firms,
2. *RDDBFIA, 1993*, which created the Debt Recovery Tribunals (DRTs) which were given sole jurisdiction over cases pertaining to recovery of banks’ and financial institutions’ dues over Rs. 10 lakhs.
3. *SARFAESI, 2002*, which created a recovery procedure that allowed banks and financial institutions to seize collateral to recover secured loan dues, without prior approval of courts.

In each of these instances the legal strategy became ineffective after few years of implementation due to three key reasons. First, in their initial stages of implementation, these laws were tested through litigation and some of their core features were eroded due to judicial interpretation of key provisions. For instance, under *SICA, 1985*. Second, the implementation infrastructure did not keep pace with the case load, adding to procedural delays. Finally, there was no clarity on how each of these laws interfaced with each other and with other laws of the country. Conflicting judgments by different courts

⁷Rajeswari Sengupta, Anjali Sharma, and Susan Thomas (2017). “Evolution of the insolvency framework for non-financial firms in India”. In: *India Development Report*

in this regard added to the confusion and created incentives for “forum shopping”.

The *IBC, 2016*, a new law, tries to address the challenges in the prior regime. Its strength lies in five core elements of its design:

1. A comprehensive law:
2. Four pillars of implementation:
3. Time bound resolution: the *IBC, 2016* imposes a maximum procedural timeline of 270 days. Within this time if a Corporate Insolvency Resolution Process (CIRP) is not approved by the Committee of Creditors (CoC) through a 75% vote, the liquidation of the company will be ordered.
4. Resolution as a commercial decision: the *IBC, 2016* process relies on the commercial wisdom of the CoC and of the potential bidders in the CIRP. The resolution or liquidation decision is arrived at through a transparent, time bound, NCLT monitored process. The role of the NCLT is to ensure
5. A “creditor-in-control” model: the *IBC, 2016*, gives all creditors, not just banks, the power to trigger the insolvency process. Once triggered, it gives financial creditors the power to decide the insolvency outcome, with the assistance of the RP. This has significantly altered the balance of power between creditors inter se, and between the creditors and debtors. For one, banks do not have the ability to *hide the bad news*, as any creditor can trigger CIRP⁸, which once admitted becomes a collective resolution process involving all creditors. In such cases, banks have no choice but to participate in the process. Second, once the CIRP begins, the owners and shareholders lose control of the firm for the duration of the resolution process, and the RP manages the firm under the guidance of the CoC.

2 The genesis of RBI-12

The provisions relating to corporate insolvency and bankruptcy came into force on 1st December, 2016, following which the newly constituted NCLT was tasked with dealing with the first set of insolvency cases being filed. Given that the *IBC, 2016* was touted to be a reformative legislation that would tackle bad loans swiftly, data suggests that the first six months of its operationalisation only saw as little as 21 cases being filed by financial creditors, of which only 8 were filed by banks. Commentators have speculated that there may be more than one reasons for low participation by

⁸Sreyan Chatterjee, Gausia Shaikh, and Bhargavi Zaveri (2017). “Watching India’s insolvency reforms: a new dataset of insolvency cases”. In: URL: <http://www.igidr.ac.in/pdf/publication/WP-2017-012.pdf> find that 75% of the 83 CIRP petitions filed by creditors between December, 2016 to May, 2017 were by operational creditors, mainly suppliers of goods and services.

banks in the initial phase of the *IBC, 2016* days, ranging from fear of investigation by agencies such as the Central Vigilance Commission to pressure for not triggering against persons that are politically connected. Arguably, to address the issue of low participation by banks (*who hold a major chunk of the bad loans*) under the new regimen, on 4th May, 2017, the President of India promulgated the *Banking Regulation(Amendment) Ordinance, 2017* inserting two new sections in the *Banking Regulations Act*, Sections 35AA and 35AB which,

- empowered the Central Government to authorise the RBI to issue directions to banks for initiating proceedings in case of a default in loan repayment; and
- further allowed the RBI to issue directions to banks for resolution of stressed assets.

Given that under the existing Section 35A of the *Banking Regulations Act*, the RBI is allowed to issue binding directions to banks in public interest or where the functioning of a bank is detrimental to its interests, the need for passing the *Banking Regulation(Amendment) Ordinance, 2017* was widely questioned. However, through a series of steps following the promulgation, the Central Government and subsequently the RBI rapidly shifted gears in putting pressure on banks for using the *IBC, 2016* mechanism.

Following the promulgation of the *Banking Regulation(Amendment) Ordinance, 2017*, the very next day on 5th May, 2017, the Central Government issued an order authorising the RBI, “...to issue such directions to any banking company or banking companies which may be considered necessary to initiate insolvency resolution process in respect of a default, under the provisions of the *Insolvency and Bankruptcy Code, 2016*.”

Later in the month, on 22nd May, 2017, the RBI issued a Press Release outlining the steps taken pursuant to the promulgation of the *Banking Regulation(Amendment) Ordinance, 2017*. This Press Release had, *inter-alia*, mentioned that the RBI would be constituting a Committee comprised majorly of its independent Board Members to advise it in regard to the cases that may be considered for reference for resolution under the *IBC, 2016*. Accordingly, an Internal Advisory Committee (IAC) was constituted.

On 13th June, 2017, the RBI issued a Press Release which was an the outcome of the first meeting of the IAC. As per the Press Release, the IAC in its first meeting considered “the accounts which were classified partly or wholly as non-performing from amongst the top 500 exposures in the banking system”. The Press Release further, without recording the names, mentioned the need for to bankers initiate action against ‘12 accounts’ under the *IBC, 2016*, whose collective bad debt totaled to about 25 per cent of the (then) current gross NPAs of the banking system. As per the methodology

disclosed in the Press Release “all accounts with fund and non-fund based outstanding amount greater than ‘ 5000 crore, with 60% or more classified as non-performing by banks as of March 31, 2016” would become a part of the infamous **RBI12**.

While the said Press Release fell short of naming the RBI12, the RBI issued separate directions/ orders to banks naming these accounts against whom action was to be taken under the *IBC, 2016* mechanism. Soon enough, for more than one reason, this 13th June Press Release by the RBI came to be challenged in the Gujarat High Court. In this Press Release, the RBI, by its own admission, had inserted a sentence in the press release which transgressed the very line that is drawn between the executive and judiciary. One of the clauses in this Press Release was, “Such cases will be accorded priority by the National Company Law Tribunal (NCLT)”.

One of the companies which were a part of the RBI 12 included Essar Steel India Limited (ESIL). An application against ESIL was moved by State Bank of India (SBI) and Standard Chartered Bank (SCB) in the Ahmedabad Bench of the NCLT. ESIL, however vehemently opposed this move by challenging the RBI Press Release dated 13th June, 2017 in the Gujarat High Court. Apart from commercial reasons which ESIL sought to highlight to prevent its case from reaching NCLT, it largely relied on two broad grounds for challenging the said Press Release:

- That the RBI did not have any authority to direct the NCLT to fast-track certain cases and;
- That RBIs decision in picking these 12 accounts was arbitrary inasmuch as no opportunity of being heard was provided to these companies that were being referred to. ESIL further contended that “each case of default will have to be considered on facts by the RBI and only after it considers the objective facts relating to the defaulting company that it can come to a subjective satisfaction entitling it to authorize the Reserve Bank of India to initiate the insolvency resolution process in respect of the default”

Instantly acknowledging the error made in directing the NCLT to accord priority to these cases, the RBI told the Gujarat High Court that it would withdraw this line from the Press Release, and did so by the means of a corrigendum. However, when the RBI was unable to produce any documentary evidence to the Gujarat High Court in support of its decision taken on 13th June, 2018. The Gujarat High Court expressed its anguish over the manner in which such an instrument was issued and recorded in its judgment that,

“This also goes to show the manner in which RBI is functioning, inasmuch as there is a press release even without a decision at certain level that press release is to be published and what should be included in such press release.

This is also an equally serious issue.”

Despite having upheld the constitutional validity of the 13th June Press Release while observing that

- the *Banking Regulation(Amendment) Ordinance, 2017* expressly empowers RBI to direct banks to take action against stressed assets; and
- the RBI referred these 12 accounts based on the advice of the IAC, with a classification provided.

the High Court recorded its disapproval over the conduct of the RBI,

“The Respondent No. 1 RBI has to be careful while issuing press releases; it must be in consonance with the Constitutional Mandates, based upon sound principles of Law, but in any case should not be in the form of advise, guidelines or directions to judicial or quasi-judicial authorities in any manner what so ever;”

This remained the only challenge that to procedure that gave birth to the RBI12. But the *IBC, 2016* mechanism, however, has been put to test ever since.

3 Motivation

The *IBC, 2016* continues to be a relatively new legislation for India which the entire ecosystem is attempting to grapple with. Within 6 months of its implementation and with close to only 100 cases having being processed by the NCLT, the law has now been put to test to see whether it is in-fact as reformative as it is touted to be. However, there are arguments to be made from both sides. One may argue that exerting the new system with large cases like these may becoming a choking point and on the other hand, it can also be argued that if the law wasn’t ready to handle the big guns, then it was never ready to begin with. But it is undeniable that these cases have been put in front of a law which yet to develop sound jurisprudence in front of institution that is yet to mature. It is also an undeniable fact that the discourse around these large cases has taken over the IBC agenda, and we have also seen interventions from the government as a consequence. But more importantly, these large cases will, as outliers, set the benchmarks for the average which is why their resolution process merits study. And to the extent possible, the comparison of the RBI12 with the other cases that are being put through the *IBC, 2016* mechanism will also reveal the differences in the timelines, nature of impediments in the resolution process and resolution outcomes. The successful resolution of RBI12 cases will eventually decide the future of the IBC in terms of predictability, timeliness and value

realisation. Ultimately, the effectiveness of this law to a great extent depends on how the NCLT interprets it and upholds its spirit. Any dilution of its provision by the NCLT will amount to an undesirable outcome which will leave us with a law, not very different from *SARFAESI, 2002* and *SICA, 1985*. This is also a cause of concern since with the RBI 12 February circular, we are left with no other option and there is no Plan B. If *IBC, 2016* fails, then there isn't anything that can be within the legislative framework really.

In the given context, the manner in which the *IBC, 2016* is evolving with support from the NCLT is something that this study seeks to capture. It also seeks to suggest policy interventions, wherever necessary.

4 Who are the RBI12?

A set of 12 companies, whose collective debt accounted for nearly 25% of India's gross NPAs. The time taken for them to enter CIRP and the size of their debt is provided in Table 3 below:

Table 3: Table introducing the RBI12 along with their debt size

Name of Debtor	Date of filing	Date of first hearing	Date of admission	Total outstanding debt	Total outstanding bank debt
Bhushan Steel Limited (BSL)	03/07/2017	13/07/2017	26/07/2017		
ESIL	NA	NA	02/08/2017		
Jaypee Infratech Limited (JIL)	NA	NA	09/08/2017		
Electrosteel Steels Limited (ESL)	NA	NA	21/07/2017		
Amtek Auto Limited (AAL)	NA	10/07/2017	24/07/2017		
Monnet Ispat & Energy Limited (MIEL)	NA	NA	18/07/2017		
Bhushan Power & Steel Limited (BPSL)	NA	13/07/2017	26/07/2017		

Jyoti Structures Limited (JSL)	20/06/2017	NA	04/07/2017		
ABG Shipyard Limited (ABG)	03/07/2017	20/07/2017	01/08/2017		
Alok Industries Limited (AIL)	29/06/2017	12/07/2017	18/07/2017		
Lanco Infratech Limited (LIL)	(first week July)	27/07/2017	07/08/2017		
Era Infra Engineering Limited (Era)	NA	NA	08/05/2018		

Upon admission, the corporate debtor undergoes various stages of during the CIRP, some of which are more troublesome than the others. Assessing these stages during the CIRP gives us an idea of the exact stages which are acting as points of bottleneck and are choking the system.

4.1 Stage of Admission

Timely enforcement of cases begins with its admission within the 14-day timeline as envisaged under the *IBC, 2016*. While the Supreme Court has passed a judgment diluting the sanctity of this timeline,⁹ the verdict was much after the RBI12 were placed before the NCLT for admission. It is observed that the NCLT orders in many cases fall short of providing the date on which the applications were filed by the creditors. This acts as hindrance in calculating whether the 14-day timeline was adhered to or no by the NCLT. Wherever these dates are available, it has been observed that the prescribed timeline was, more often than not, not adhered to by the NCLT. This first line of timely enforcements was itself crossed under the RBI 12 cases, which has now been judicially diluted.

During the admission phase though, it has been noticed that most of the cases were contested by the corporate debtors, some vigorously while some not as much. ESIL for instance, fought tooth and nail to keep itself out of the CIRP. Not only did it challenge the very procedure of arriving at the

⁹ *Surendra Trading Company v. Juggilal Kamlapat Jute Mills CO. Ltd. & Ors*

RBI12, it also challenged the application at the NCLT level. But the objections raised by ESIL at the admission stage were not unique to ESIL itself, many of its RBI12 counterparts also raised similar objections during the admission phases. The first one is procedural in nature, and most commonly used, that is challenging the authority of the officer filing the application and deflecting the petition on procedural grounds. The second most common objection raised is where the corporate debtors attempt to avoid triggering of insolvency proceedings by referring to their progress under the existing restructuring schemes, be it JLF or otherwise. However, the NCLT in all the cases took a firm stance by rejecting all such defences.

Surprisingly, though, none of the admission orders against these large cases were appealed to the National Company Law Appellate Tribunal (NCLAT).

4.2 Resolution Process

The Resolution Process starts with the appointment of the Interim Resolution Professional (IRP). Whether the IRP will continue to be the RP is a decision which the CoC takes in the first meeting. It appears that nor were any of the IRPs disapproved by the CoC in their meetings, neither were any of these RPs ousted or removed by the CoC subsequently for any other reasons. At a later stage in the resolution process, the RP typically publishes an Expression of Interest (EOI) inviting resolution plans from prospective resolution applicants. At this stage, the resolution applicants merely 'express interest' in the company following which discussions with the RP are held, site visits are conducted, and data is made available to the resolution applicants for them to make an informed decision on whether or not they want to submit a final plan, and if they do, the nature of the plan. The EOI so published also provides for the last date for submission of resolution plans. In the case of RBI12, wherever the information is available, the deadline for submission of resolution plans was revised more than once. Even in cases where such information is publicly not available, news reports have widely suggested and speculated that the plans were submitted much after the deadlines proposed in the initial EOI.¹⁰ Presumably, in cases where such information isn't available, the deadlines for submission of resolution plans was revised.

¹⁰In the case of ESL, the final deadline available on the company website is 11/12/2017. However, the final bids came in much later and last date by which resolution plans were received, as stated on its filings with the Bombay Stock Exchange, was 04/01/2018

4.2.1 Submission of Resolution Plans

Between the time the EOI is published and final bids are received by the RP, there is close to no official information, and probably rightly so, with respect to parties expressing interest in the corporate debtor, the quantum and quality of their offers and revisions if, any. And whereas for a company which has no disclosure requirements to stock exchange, none of this information is available at all. In this backdrop, the only source of information which one is left to rely on, unfortunately, is the media. The opaque nature of the process was also noticed by the NCLT in the BPSL-Liberty House case. From reading some of the orders passed by the NCLT during the resolution process of the big cases, the procedure appears to be as follows:

The corporate debtor publishes an EOI specifying certain preliminary criteria that is to be fulfilled for being considered as an eligible bidder. This acts as the first level of filtering. Following a list of eligible resolution applicants, an information memorandum is floated which contains details about the financial health of the corporate debtor. This is typically done by the means of giving all eligible candidates access to a “virtual data room” where all the information is available. This forms the basis for the resolution applicants to prepare their resolution plan. It has been often said the quality of these virtual data rooms is unsatisfactory and enough information isn’t available. Arguably, this low quality information, may or may not, subsequently result in a resolution plan which offers lesser value than what a high quality data room would entail. Another critical piece of this process is the “process document” which is also floated to the resolution applicants who are shortlisted during the EOI process. This process document contains the procedural guidelines to be followed of which, inter alia, the last date for submission of bids is a part. However, once the EOI is published, all further communication is not available to the public and is only done to the persons to whom this process document is floated. The opacity of the process acts as a hindrance in determining what part of the process is causing delays.

As such, it has been observed for most of these cases that number of parties making final bids is far less than the number of parties expressing initial interest in the corporate debtor. The maximum number of bids which any of the RBI12 cases received was 4 and the minimum was 1. For instance, AIL, MIEL and ABG received 1 bid each. And in all three cases, it has been reported that the initial bid was either subsequently revised or further scrutinised before it got approved.¹¹

On an average, the number of bids received is 2. There have been instances

¹¹Committee of creditors accepts revised bid from JSW-AION for Monnet Ispat: Business Standard: 19/02/2018; ABG Shipyard: Lenders seek details on Liberty House bid: The Hindu Business Line: 10/04/2018

of submission of bids after the final deadline (Liberty House for BPSL, and there have been instances where the RP has called for fresh bids after the CoC having rejected the available bids (ESIL. The CoC of ABG decided to call for fresh bids just 10 days before the 270-day deadline. There have been instances of the bid being opposed by the competing resolution applicants (Renaissance Steel opposing bids by two other resolution applicants for ESL), and there have been instances of bid being opposed upon submission of resolution plan at the NCLT (Larsen & Toubro opposing bid by Tata Steel for BSL).¹² While some challenges have been successful to some extent, some of these cases have successfully pointed out flaws in the manner in which the RP and the CoC conduct the process.

4.2.2 Claim submission and acceptance

Typically, creditors are required to file their claims by the last date mentioned under the public announcement which is made under Regulation 6 of the *Insolvency Resolution Process for Corporate Persons Regulations*. However, commentators and resolution teams have indicated that claims may be filed belatedly also, but not later than the approval of the resolution plan by the CoC.¹³ This can also be validated by observing the findings of the IBBI where the disciplinary committee imposed a fine on the RP of ESL. In this case an operational creditor filed a complaint with the IBBI with respect its claim being disregarded by the RP and no further response either to requests.

The claim procedure has been relatively hassle-free in these cases, apart from the JIL case. The JIL prompted the IBBI to amend the *Insolvency Resolution Process for Corporate Persons Regulations* and provide for a new 'Form F' for submission of claims by creditors who are not financial creditors or operational creditors. It is no secret that that this form was in fact introduced to enable 'home-buyers' to file their claims due to the ongoing dispute surrounding their status as creditors.

A list of claims submitted as opposed to claims admitted by the RP reveal a trend which was not always very difficult to predict. On an average, over 90% of the claims submitted by financial creditors are approved whereas it is the operational creditors and employees on are incurring massive haircuts on admission of claims. But this is just the first stage of haircuts for the operational creditors, the second level of haircut is imposed by the resolution applicants who strive the pay off the financial creditors in (almost) full and utilise whatever balance remains for the operational creditors. One of the

¹²L&T files objections to Tata Steels Bhushan Steel bid: Livemint: 09/04/2018

¹³Failure of a Creditor to Submit a Claim in an Insolvency Process: IndiaCorpLaw: 11/12/2017; FAQs on Submission of Claims under Resolution: ASSAMCO: 09/11/2017

reasons for operational creditors bearing massive haircuts at the level of claim acceptance is due the nature of their debt; while financial debts are fairly well-established in terms of documentation and proof of debt, there exists an element of uncertainty around operational debts given the lack of appropriate documentation and greater scope for dispute.

Wherever the dates are available, Table 4 below summarises the dates on which various milestones were achieved during the CIRP. The table indicates the procedural delays which have crept in during the CIRP, right from its admission and delay in conducting the first CoC. Revised deadlines are mostly not available on company websites. This table also gives an indication of the inconsistency in information dispersed by various companies.¹⁴

Table 4: Table indicating milestones achieved

Company Name	Admission date	Public Announcement	First CoC meeting	Invitation for EOI	Last date for submission of resolution plans	Date of approval/rejection	180-day deadline	(estimated) 270 day deadline
BSL	26/07/2017	26/07/2017	Not available	07/10/2017	23/12/2017	06/03/2018	22/01/2018	22/04/2018
ESIL	02/08/2017	05/08/2017	01/09/2017	Not available	23/10/2017	Not available	19/01/2017	29/04/2018
JIL	09/08/2017	10/08/2017	19/09/2017	27/10/2017	7/11/2017			06/05/2018
ESL	21/07/2017	21/07/2017	21/08/2017	27/09/2017	09/10/2017	29/03/2017	16/01/2018	17/04/2018
AAL	24/07/2017	29/07/2017	22/08/2017			02/04/2017		20/04/2018
MIEL	18/07/2017	25/07/2017	Not available	21/09/2017	25/09/2017	10/04/2018	13/01/2018	14/04/2018

4.3 Litigation

The RBI12 companies have been involved in more litigation during than before the admission phase. To name a few, during this phase, the constitutionality of the *IBC, 2016* has been challenged,¹⁵ the conduct of the RP has been questioned, companies have faced stoppage of supplies of raw materials and electricity during this phase, the decision of the CoC to disapprove plans has been challenged as well. This interpretation of the NCLT is against the policy intent envisaged by the BLRC and fatal to the time-bound procedure provided for under the *IBC, 2016*. This interpretation can (and will) be used as a tool by either sides of the bargain during CIRP to prolong the process.

¹⁴So far, the study is based only six out of twelve companies

¹⁵Shreya Singhal vs. Union of India

These proceedings have forced the tribunals into applying its mind at an early stage of the implementation of the *IBC, 2016* and helped create a rich body of jurisprudence which can easily be relied on by the smaller cases. Though there have been instances where the NCLT has not upheld the spirit of the law and has subverted it. It is hoped that in cases such as these, the higher judiciary will step in to restore the policy intent behind inclusion of the relevant provisions in the main law.

Table 5 below provides a comprehensive list of all litigations which these companies have been involved in during the CIRP at various courts and tribunals.

Table 5: Table listing litigations in which the RBI12 companies have been involved during CIRP

Company name	Commencement Date	Date of Order	Issue
BSL	Not available	15/05/2018	The RP submitted the resolution plan of winning bidder, Tata Steel to the NCLT for its approval. Three sets of objections were raised: • By group company Bhushan Energy Limited for termination of a Power Purchase Agreement between BSL and itself as a part of the resolution plan; • By L&T urging to be placed higher in the hierarchy of creditors, as secured creditors; • By employees of BSL challenging the validity of Tata Steel under Section 29A. The NCLT rejected all objections and approved the resolution plan, as a result of which BSL became the first of the RBI 12 to have been successfully resolved. An appeal against the order of the NCLT approving the resolution plan has been filed by BSL promoter, Naveen Singhal.
	Not available	Ongoing	

ESIL	Not available	07/02/2018	The CoC through the RP moved to the NCLT against SREI Infrastructure Ltd. and Odisha Slurry Infrastructure Ltd. in a dispute regarding the latter's ownership. The RP sought to restrain SREI from selling stake in Odisha Slurry. The NCLT ruled that ESIL cannot claim ownership of the property in question, subject to the final ruling of the Calcutta High Court.
	Not available	Not available	Dakshin Gujarat Vij Co. Ltd. has filed an application under Section 60(5) of the <i>IBC, 2016</i> against ESIL. The contents of this application are not clear from the orders. However, this may related to the ongoing dispute at the Supreme Court between both companies with respect to the alleged excessive charge by Dakshin to ESIL for consumption of electricity.
	Not available	19/04/2018	Applications filed by Numetal and ArcelorMittal against decision of the RP to disregard their bids due to disqualification under Section 29(A). The NCLT ordered the RP and glscoc to reconsider their decision of dismissing both bids in view of the amended Section 30(4) which requires the CoC to provide a period of one month to the ineligible bidders to make the payment of their dues.
	27/04/2018	Not available	Both Numetal and ArcelorMittal have appealed against the NCLT order allowing 30 further days for curing ineligibility under Section 29A. Numetal has sought to re-open second round of bidding.

JIL	Not available/ 04/09/2018	Not available (ongoing)	a PIL was filed by Chitra Sharma contending Section 14 of the IBC does not address the interests of homebuyers and that their rights under the Consumer Protection Act, 1986 must not be curtailed as a result of Section 14. The Supreme Court has time and again asked Jayprakash Associates Limited to deposit Rs. 2000 crore with its registry, of which, Rs. 750 crores have been deposited so far. With the statutory 270-day timeline over, the Supreme Court has ordered a stay on the liquidation proceedings till the time a further sum of Rs. 1000 is deposited by Jayprakash Associates.
	Not available	16/05/2017	The RP moved against directors of JIL and Jayprakash Associates seeking to reverse a transaction undertaken in before JIL went into insolvency. The transaction pertains to mortgaging of 858 acres of land held by JIL to secure a debt obtained by Jayprakash Associates while JIL was declared NPA itself. The NCLT ruled to release 758 acres of the total 858 acres, as being fraudulent, preferential and undervalued.
	Not available	Not available	Applications have been filed by the RP under Section 60(5), however details not available. ICICI Bank has also filed application under Section 60(5), however, details not available.

ESL	Not available	09/03/2018	The RP of the Electrosteels moved to the NCLT against Director of Mines, State of Odisha, praying for continuance of supply of coking coal and iron ore during while the company was under resolution process. The supply was dependent on the receipt of a permission (CTO), which expires on 31/12/2017. The NCLT, on 11/01/2018 directed the RP to make an application before the appropriate authority. Thereafter, the NCLT opined that the status of the CTO shall continue till the expiry of the moratorium and that the status of any legal action against the corporate debtor will be on hold till the CIRP expires.
	Not available	20/03/2018	Renaissance Steel India Pvt Ltd filed an application at the NCLT against the RP of Electrosteels for not considering the objections raised by them against two resolution applicants, Tata Steel Ltd and Vedanta Ltd. The objections were with respect to their in-eligibility under Section 29A of the <i>Insolvency and Bankruptcy (Amendment) Act, 2018</i> . The NCLT found that the RP had in-fact not considered several meritorious objections raised by Renaissance and ordered the RP to submit its decisions in respect of eligibility under Section 29A along with supporting reasons to Renaissance. However, the NCLT refused to pass any orders with respect to the eligibility of the resolution applicants, holding that the test of eligibility would be the mandate of the CoC and RP.

	Not available	Not available	While the RP submitted the selected resolution plan to the NCLT, several objections have been raised. One of the operational creditors (SRG Earth Resources Pvt Ltd) has alleged that its claim has not been considered by the RP in the resolution plan. Forest, Environment & Climate Changes, Bokaro, State of Jharkhand also filed an intervening application to bring to the notice of the NCLT certain actions with regards to the assets of the corporate debtor. The case is currently pending. The final order admitting the resolution plans also records the objections raised by Renaissance Steel against the decision to select Vedanta as the winning bidder. Vedanta pursued its previous argument of ineligibility and sought to challenge the decision of the CoC by arguing that Vedanta is ineligible under Section 29(A)(d) for a violation by one of its group companies in Zambia. NCLT found no merit in this and passed an order approving the resolution plan.
	Not available	Ongoing	Renaissance Steel has appealed against the NCLT order approving the resolution plan submitted by Vedanta.
AAL	Not available	13/10/2017	Corporation Bank moved to the NCLT against Indian Overseas Bank for having violated the moratorium by allowing withdrawal of cheques, appropriating the amount lying in the current account of AAL by way of set off, despite there being clear instruction from the RP to debit freeze all accounts. The NCLT partly allowed the application and ordered Indian Overseas Bank to deposit the amount, which was lying in the credit of the current account of AAL.

	Not available	15/11/2017	Indian Overseas Bank appealed to the NCLAT against the above order where the NCLAT upheld NCLT's order and directed it to refund the money it had earlier appropriated from AAL's current account with Indian Overseas Banks Hosur branch for its loan repayment.
	Not available	Ongoing	Applications have been moved to the NCLT by H2 bidder, Deccan, challenging the validity of the winning bidder, Liberty House. At the same time, the RP has sought instructions from the NCLT on the eligibility as well.
MIEL	Not available		After admission of the case, the Chhattisgarh State Electricity Board had suspended supplying power to Monnets Raipur unit in view of its poor financial health. On an application made by the RP, the Mumbai Bench directed Chhattisgarh State Electricity Board to continue supplying power till further directions since it is essential to the functioning of the company.
	Not available	16/11/2017	The NCLT also, on 16 november suspended arbitration proceedings on a credit transaction involving MIEL. Monnet owed about Rs. 2.5 crore to a foreign supplier and an arbitration tribunal had ruled that arbitration proceedings should continue simultaneously. The NCLT however suspended them in view of the moratorium declared while admitting the case.

	Not available	16/01/2017	MIEL had to approach the NCLT again in view of a Coal Mining Development And Production Agreement” which was terminated by the Central Government for failure by MIEL to renew its performance guarantee. While Monnet argued that it was under the resolution process and Section 238 of the IBC would have an overriding effect, the NCLT, dismissed this argument and held that this order by the Central Government cannot be invalidated in view of public interest.
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4.4 Challenges faced after successful resolution

(Since the proceedings in all cases have not been successfully resolved, this part of the paper is most likely to be filled in the coming few months, as and when the cases get resolved)

4.5 Observations

An analysis of how these cases are emerging and shaping the *IBC, 2016* narrative paints a picture which is nothing short of chaotic. However, it would be wrong to say that the intended outcomes aren’t being achieved. There are some who are trying to adhere to the law while there are some who are trying to dilute it suit their commercial interests. Accordingly, there is good and bad news to be shared about this law evolving and shaping the public outlook. In all the cases that have been studied, there has been at least one bidder with ESL having four bidders. On an average, we see that there around 2 bidders per company. Of the 6 cases studied so far, the winning resolution applicants have been selected in 4 of them. The implied recovery rates as well, in are roughly 30-35% in three cases where 62% in another case. Another case outside the RBI 12, has seen bid value which is close to 110% of the total debts of the company. But these large cases also bring up issues which are unique and are being tested to set precedents.

4.5.1 Bottlenecks in the process

- In almost all instances where the resolution plans have been submitted, the eligibility of the winning bidder is being challenged under Section 29(A) at the NCLT. In the case of ESL, Renaissance has been challenging Vedanta's eligibility even before its resolution plan was selected by the CoC. It challenged the validity before the NCLT at the stage of approval and has now challenged it before the NCLAT. Similarly, despite Tata Steel having taken over the management of BSL, there has been a challenge by the promoter of the BSL, who is trying hard to hold on to his company by challenging the validity of Tata Steel. Section 29A is increasingly being used as an instrument by the losers in the process to stifle successful resolution of companies.
- At the same time, the law is not clear insofar as to who is the rightful authority to decide whether a given resolution applicant is eligible under Section 29A or not. Typically, upon a decision by the RP holding the resolution applicant to be ineligible under Section 29A, the CoC does not even consider the question of eligibility. Under the case of ESIL, the NCLT asked the CoC to allow the resolution applicants 30 days time to cure the defect which made them ineligible under Section 29A. This also shows that, under the current version of the law, the authority to determine Section 29A eligibility is fluid and not as water tight.
- Another story which emerges with respect to Section 29A eligibility can be found in the cases of ABG and AAL. Liberty House was one of the two bidders for AAL and for ABG it was the only bidder. However, it was selected as the winning bidder for AAL while ABG rejected its second offer due to Section 29A ineligibility. If Liberty House is in fact ineligible under Section 29A, then this points out to the flaws in the processes adopted by companies in evaluating applicants since the same applicant has been accepted in one case and rejected in the other.¹⁶ ABG also seems to be the only company which has not disclosed the name of the bidder in its stock exchange filings.
- One of the most important dilutions through the judiciary have been the dilution of timeline discipline envisaged under the *IBC, 2016*. When Liberty House challenged the decision of BPSL's CoC to disregard its bid due to late submission, NCLT in its final order ruled that the 270-day timeline halts while the case is under litigation. This ruling has now been reaffirmed by another bench in the case of ESIL where the NCLT halted 30 days during the CIRP while both resolution applicants successfully challenged the decision of the CoC. This stance has also been reaffirmed by the NCLAT in several rulings as well.
- What the Liberty House case has also revealed is flaws in the bidding process. After the EOI is floated, the process thereafter is completely opaque. At the same time, it also shows that the creditors are allowing bids to be made despite not having submitted a formal EOI, as a consequence of which the process document is not floated to other contenders. This was the main reason

¹⁶ABG shipyard creditors reject liberty house bid yet again:Economic Times: 17/04/2018

why Liberty's bid was allowed despite it being submitted after the creditors' deadline.

- The RPs are coming under sharp attack the not only from the bidders but also from the NCLT. The NCLTs have ruled against the decisions of the RPs in several cases including BPSL, ESIL and Binani Cements. Complaints over the conduct of the RP are only rising, not just from the side of the losing bidders but also from members of the CoC. JIL RP is also facing severe criticism from one of the members of the CoC, India Infrastructure Finance Co, for not doing his job diligently since the company is being undervalued during the resolution process. So far, all the rulings by the NCLT have also been favour of the resolution applicants when they moved against the RP, indicating some sort of bias. These rulings against the RP and in favour of the resolution applicants have come at a huge cost in terms of diluting the sanctity of the CIRP process and the timelines prescribed in the *IBC, 2016*. This may, however, be an indication of how poorly the RPs are conducting the CIRP.

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